Our assessment found that while CSF played a key role in Pakistan's support for our war on terror, Defense had not followed its existing guidance and provided little oversight of the effort at the embassy in Pakistan. Defense had concerns about the accuracy of Pakistan's claims from the very first claim submitted in 2001. Based on the lack of supporting evidence in the Pakistani claims from January 2004 through June 2007 (the latest claims reimbursed by Defense), we found that neither Defense nor we could determine if Pakistan had actually incurred most of the costs in their claims. Prior to 2004, it appears that there was even less evidence to support Pakistan's claims. As a result, we conclude that Defense cannot accurately determine how much of the $5.56 billion in costs reimbursed to Pakistan since 2001 were actually incurred.

As a result of these and other findings, we believe that Defense should consistently implement its own CSF guidance to fully verify Pakistani claims and ensure the effective use of CSF in meeting key U.S. national security goals. While we recognize that CSF is used to support 27 countries in fighting terrorism, the fact that Pakistan receives 81 percent of these funds indicates that Defense should provide oversight procedures that reflect the role Pakistan plays as both the major recipient of CSF and its role in supporting U.S. national security objectives in Pakistan and Afghanistan. Additionally, we recognize that Defense may not be able to fully verify all Pakistani claims without having the ability to access the Pakistani government's records and make site visits or conduct spot checks. ODRP's recent increased efforts, however, show that greater oversight may be achieved through the use of U.S. representatives in Pakistan.

RECOMMENDATIONS FOR EXECUTIVE ACTION

To improve the impact and oversight of CSF payments to Pakistan, we make the following five recommendations to the Secretary of Defense:

- Consistently implement existing criteria to disallow or defer Pakistani claims that do not include the documentation needed to verify the claims.
- Define and formalize the roles and responsibilities of ODRP.
- Work with the government of Pakistan to develop procedures to allow ODRP or other U.S. representatives to conduct greater oversight of CSF use in Pakistan, including the potential use of onsite inspections.
- Clarify guidance for Comptroller analysis of cost fluctuations.
- Develop and apply criteria to evaluate currency exchange rates to ensure that the U.S. government is not overpaying for Pakistan operations.

Copyright © 2010. Nova Science Publishers, Incorporated. All rights reserved.

Combating Islamic Militancy and Terrorism in Pakistan's Border Region, Nova Science Publishers, Incorporated, 2010. ProQuest Ebook Central,